Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A [MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231]

Additional Disclosure

Year: Methodology Year: 2022
Question: Climate Risk Assessment - Transition Risks
Include Modeled Score : Yes

Climate Risk Assessment - Transition Risks

Question

Has your company assessed transition risks related to climate change? Please provide supporting evidence and indicate where this is available in your public reporting.

Rationale

Today, nearly all organizations are affected by climate change-related risks. However, the most significant effects of climate change are likely to emerge over the medium to longer-term, while the precise timing and magnitude of these impacts remain uncertain. This uncertainty represents a challenge for organizations and investors to understand the potential effects of climate change on their businesses, strategies, and financial performance. To appropriately incorporate these potential impacts in their planning processes, organizations need to consider how such risks and opportunities may evolve and what the potential implications may be under different conditions. One way to do this is by using climate-related scenario analysis.

This question is aligned with the TCFD recommendations, which include a recommended disclosure on the resilience of the organization's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.

This question is also aligned with the European Non-financial Reporting Directive 2014/95/EU, which demands that when reporting on their climate-related risks and opportunities, companies consider their whole value chain. Indeed, risks of negative impacts on an organization and risks of negative impacts on the climate may arise from companies' own operations and may also occur throughout the value chain, both upstream in the supply chain and downstream.

Performance Summary	
Question Level Company Performance	35
Question Weight	5
Year-on-Year Change	20
Industry Average Score	21
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Risk Assessment: Systematic process for an organization to evaluate potential risks that may impact its assets and operations.

Scenario Analysis: Process for identifying and assessing a potential range of outcomes of future events under conditions of uncertainty. In the case of climate change, for example, scenarios allow an organization to explore and develop an understanding of how the physical and transition risks of climate change may impact its businesses, strategies, and financial performance over time.

(TCFD (2017), Recommendations of the Task Force on Climate-related Financial Disclosures)

Transition risk: Transitioning to a lower-carbon economy may entail extensive policy, legal, technology, and market changes to address mitigation and adaptation requirements related to climate change. Depending on the nature, speed, and focus of these changes, transition risks may pose varying levels of financial and reputational risk to organizations. Transition risks can be divided into four categories: policy and regulatory risks, technological risk, market risk, and reputational risk.

- **Policy, regulation and legal risks** include implementing carbon-pricing mechanisms to reduce GHG emissions, shifting energy use toward lower-emission sources, and adopting energy-efficiency solutions. The risk associated with and financial impact of policy changes depend on the nature and timing of the policy change. Another important risk is litigation risk, which can occur as a result of litigation by for example property owners, municipalities, states, insurers, shareholders, and public interest organizations.
- **Technological risks** result from technological improvements or innovations that support the transition to a lower-carbon, energy-efficient economy. For example, the development and use of emerging technologies such as renewable energy, battery storage, energy efficiency, and carbon capture and storage will affect the competitiveness of certain organizations, their production and distribution costs, and ultimately the demand for their products and services from end-users.
- **Market risks** can impact the company in various ways. One of the major ways is through shifts in supply and demand for certain commodities, products, and services.
- **Reputational risks** may arise from changing customer or community perceptions of an organization's contribution to or detraction from the transition to a lower-carbon economy.

(TCFD (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities)

Value Chain: Terminology used to describe the upstream and downstream life cycle of a product, process, or service, including material sourcing, production, consumption, and disposal/recycling.

Upstream activities include operations that relate to the initial stages of producing a good or service, e.g. material sourcing, material processing, supplier activities.

Downstream activities include operations that relate to processing the materials into a finished product and delivering it to the end-user (e.g. transportation, distribution, and consumption).

(TCFD (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities)

Data Requirements

Please include in your response all the scenarios based on which you assess the transition risks related to climate change.

In line with the TCFD recommended disclosure, two scenarios are required for full scoring, one of which has to be a 2°C or lower scenario.

If your company conducts a scenario analysis and uses another method, please describe the three following elements:

- Parameters used (e.g. discount rate, GDP, other macro-economic variables, etc.)
- Assumptions made (e.g. assumptions related to policy changes, technology development/deployment, energy mix, price of key commodities or inputs, geographical tailoring of transitional and physical impacts, and timing of potential impacts)
- Description of the different scenarios with time horizons set

Additional credit will be granted for public disclosure of:

- At least one climate-related scenario
- The focus and scope of the climate risk assessment

References

TCFD (2017) Final Report: Recommendations of the Task Force on Climate-related Financial Disclosures

https://www.fsb-tcfd.org/publications/final-recommendations-report/

TCFD (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities

https://www.fsb-tcfd.org/publications/final-technical-supplement/

CDP (2017), CDP Technical Note on Scenario Analysis – Conducting and disclosing scenario analysis

EU, Technical Expert Group (TEG)(2020) Technical Annex on technical screening criteria for economic activities that can make a substantial contribution to climate change mitigation or adaptation.

https://ec.europa.eu/info/sites/info/files/business_economy_euro/banking_and_finance/documents/200309-sustainable-finance-teg-final-report-taxonomy-annexes_en.pdf

European Commission, Guidelines on reporting climate-related information

https://ec.europa.eu/finance/docs/policy/190618-climate-related-information-reporting-guidelines_en.pdf

Standards & frameworks

CDP Climate - C2.1a, C2.2, C2.2a, C2.3a, C3.2, C3.2a

TCFD - Strategy (a), Strategy (b), Strategy (c)

UNGC Questionnaire - G6

WEF Metrics - Integrating risk and opportunity into business process

Data View	
QUESTION LEVEL INPUT	**COMPANY ANSWER**
Company has completed an assessment of material transition climate risks	Yes
Company publicly reports on its climate risk assessment's scenario analysis regarding transition risks	-
Company's climate risk assessment regarding transition risks scenario analysis methodology	Qualitative and quantitative
Company uses the IEA NZE 250 scenario as a climate-related scenario for transition risks	-
Company uses the IEA 2DS scenario as a climate-related scenario for transition risks	-
Company uses the IEA B2DS scenario as a climate-related scenario for transition risks	-
Company uses the IAE 450 scenario as a climate-related scenario for transition risks	-
Company uses the Greenpeace scenario as a climate-related scenario for transition risks	-
Company uses the DDPP scenario as a climate-related scenario for transition risks	-
Company uses the IEA SDS scenario as a climate-related scenario for transition risks	-
Company uses the IEA NPS scenario as a climate-related scenario for transition risks	-
Company uses the IEA CPS scenario as a climate-related scenario for transition risks	-
Company uses the IRENA scenario as a climate-related scenario for transition risks	-
Company uses the NDCs scenario as a climate-related scenario for transition risks	-
Company uses the BNEF NEO scenario as a climate-related scenario for transition risks	-
Company uses the REMIND scenario as a climate-related scenario for transition risks	-
Company uses different climate-related scenarios for transition risks from the ones listed	YES
Company publicly reports on the scope and focus of its climate risk assessment regarding transition risks	-
Scope of the climate risk assessment regarding transition risks includes the company's operations	YES
Company's assessment of transition risk is based on potential scenarios for legislation, technological development, or market conditions	YES
Scope of the climate risk assessment regarding transition risks is consistent with the expected lifetime of the company's assets or activities	-
Scope of the climate risk assessment regarding transition risks includes upstream activities	-
Scope of the climate risk assessment regarding transition risks includes downstream activities and clients	-

Questionnaire

Has your company assessed transition risks related to climate change?

1. (●)

   Yes, we have completed an assessment of material transition climate risks for our company and it has the following characteristics.

   Scenario Analysis

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Please provide supporting evidence for options selected below and indicate if the evidence is publicly available.

1. ☐ We publicly report on our scenario analysis for transition risks

1. ○ We use qualitative climate-related scenario analysis
2. ○ We use quantitative climate-related scenario analysis
3. ◉ We use qualitative and quantitative climate-related scenario analysis
4. ○ We do not use climate-related scenario analysis

If your organization uses climate-related scenarios for transition risks, please select any that apply:

1. ☐ IEA NZE 2050
2. ☐ IEA 2DS
3. ☐ IEA B2DS
4. ☐ IEA 450
5. ☐ Greenpeace
6. ☐ DDPP
7. ☐ IEA SDS
8. ☐ IEA STEPS (previously IEA NPS)
9. ☐ IEA CPS
10. ☐ IRENA
11. ☐ IEA APS or Nationally determined contributions (NDCs)
12. ☐ BNEF NEO
13. ☐ NGFS Scenarios or REMIND or MESSAGE-GLOBIOM (Financial Services only)
14. ☑ Other transition risk scenario, please provide a detailed description (see Data Requirements):

Scope and focus of risk assessment

Please provide supporting evidence for options selected below and indicate if the evidence is publicly available.

1. ☐ We publicly report on the scope and focus of the assessment

1. ☑ The scope of our assessment includes our own operations

   Please select the type(s) of assessment that apply:

   1. ☑ Assessment of transition risk based on potential scenarios for legislation, technological development or market conditions
   2. ☐ Assessment is based on short-, medium-, and long-term horizons considering the expected lifetime of the assets or activities

2. ☐ The scope of our assessment includes our upstream activities
3. ☐ The scope of our assessment includes our downstream activities and clients

2. ○ We have not completed a climate-related risk assessment for transition risks.
3. ○ Not applicable. We do not consider our company's assets or operations to be exposed to transition risks related to climate change. Please provide explanations in the comment box below.
4. ○ Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.